

DRUMOAK CAPITAL

Renew Holdings PLC (RNWH)

Equity Research Report

August 2026

As of 7 August 2026 Close



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Angus Logan Renew Holdings PLC (LSE: RNWH) Equity Pitch

Executive Summary & Investment Thesis

Renew Holdings PLC (LSE: RNWH) is a £710m market cap UK engineering services provider focused exclusively on non-discretionary maintenance, renewal, and asset support across critical UK national infrastructure.

Contrary to first-pass screener perceptions that flat its single-digit operating margin (~6.5%), Renew operates an asset-light service model by leasing specialised heavy fleets on a cost-pass-through basis rather than carrying depreciating yellow machinery. Renew achieves a ~17% Return on Capital Employed (ROCE/ROIC) with minimal capex requirements (<1.5% of sales).

Underpinned by statutory regulatory framework commitments, including Network Rail's Control Period 7 (CP7, 2024-2029) and the Water sector's Asset Management Plan 8 (AMP8, 2025-2030), Renew operates with a record £915m order book. Combined with an active M&A strategy, acquiring niche regional service providers at 4x-6x EBITDA, Renew offers a defensible process-driven equity compounding story that directly mirrors VBAM's top international industrial holdings.

Renew Holdings PLC ("Renew") presents an attractive risk-reward profile for long-term capital appreciation. It operates as a high-return, asset-light engineering services provider across the critical UK national infrastructure.

Renew Holdings PLC (LSE: RNWH)	
Share Price (Aug 2026)	~900p
Market Capitalisation	£710m
Enterprise Value	~£704m
FY25 Revenue	£1,116m
FY25 Adjusted EBIT	£72.1m
Order Book	£915m
Net Cash (Pre-IFRS 16)	£6.2m
Normalised ROCE / ROIC	~17.2%
Dividend Yield	~2.2%

Core Investment Pillars

- 1) **Regulatory Demand Visibility:** Over 90% of revenue originates from long-term, statutory regulatory frameworks: Network Rail's Control Period 7 (CP7: £44bn budget, 2024-2029) and Ofwat's Asset Management Plan 8 (AMP8: £88bn budget, 2025-2030). These programs are non-discretionary, protecting revenue from broader macroeconomic fluctuations.
- 2) **Superior Capital Efficiency (ROCE ~17-20%):** Screeners miscalculate Renew's economic moat due to its single-digit EBIT margin (~6.5%). By utilising a labour-led service model and leasing specialised heavy plant equipment on a direct cost-pass-through basis, capital expenditures stay below 1.5% of revenue. High asset turnover (~2.6x) generates consistent double-digit returns on invested capital.
- 3) **Disciplined M&A & Framework Scaling:** Cash Generation funds targeted bolt-on acquisitions of regional engineering specialists at modest valuation multiples (4.5x-6.0x EV/EBITDA). Integrating these businesses into Renew's tier-1 national framework agreement drives operational scaling and immediate earnings accretion.
- 4) **Complete Elimination of Legacy risk:** The late-2024 divestment of Walter Lilly fully excised the Group's exposure to high-risk, fixed-price building contracts, transforming Renew into a pure-play infrastructure services business.

Section 2: Business Overview & Divisional Architecture

Renew operates across four main engineering verticals, using specialised regional subsidiaries to deliver critical maintenance services under long-term framework agreements.

Group Revenue (£1,116m)			
Rail (~40%)	Water (~29%)	Energy (~18%)	Nuclear (~13%)
AmcoGiffen QTS Group	Browne, Envolve Reloc Ltd	Excalon, Emerald Full Circle Wind	Shepley Engineers Carnival Ltd

Vertical Breakdown

Division	Revenue Share	Primary Clients	Core Operational Scope
Rail	~40%	Network Rail, Transport for London	Slope stabilisation, bridge repair, drainage, trackside asset upkeep
Water & Environment	~29%	Thames Water, United Utilities, Welsh Water	Leak repairs, trunk main upkeep, sewer repair, flood attenuation
Energy	~18%	National grid, DNOs, Wind Operators	High-voltage overhead lines, grid connections, onshore turbine O&M
Nuclear	~14%	Sellafield Ltd, NDA, EDF	Decommissioning support,

		Energy	high-hazard asset life extension.
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- **Rail:** Delivered through subsidiaries AmcoGiffen and QTS. RNWH acts as a main tier-1 operational partner to Network Rail, maintaining ageing infrastructure subject to severe weather risks.
- **Water & Environment:** Renew has expanded its footprint from 3 to 10 of the 12 major UK water authorities ahead of AMP8. Focus areas include leak repairs, asset restoration, and regulatory compliance projects.
- **Energy:** Supported by the acquisition of Excalon, Emerald Power, and Full Circle Wind Services, this division focuses on high-voltage grid upgrades, substation maintenance, and wind turbine O&M services.
- **Nuclear & Environmental:** Operating through Shepley Engineers at Sellafield, this unit delivers asset maintenance in high-barrier, highly regulated environments that require specialised security clearances.

Section 3: Industry Dynamics & Regulatory Frameworks

Renew's operational performance is aligned with UK infrastructure regulatory cycles, providing multi-year visibility across its key end markets.

Regulatory Capital Allocation Timeline			
Sector	Framework Name	Period	Budget Allocation
Rail	Network Rail CP7	2024-2029	£44.0bn (+12% vs CP6)
Water	Ofwat AMP8	2025-2030	£88.0bn (+70% vs AMP7)
Electricity	Ofgem RIIO-ED2	2023-2028	£22.2bn baseline spend

Network Rail Control Period 7 (CP7: 2024-2029)

Network Rail's £44bn CP7 cycle shifts capital away from mega-projects (e.g., HS2) toward asset renewals and climate resilience. Increased incidence of extreme weather accelerates structural wear on soil slopes, embankments, drainage networks, and track beds, expanding demand for emergency response and planned maintenance services.

Ofwat Asset Management Plan 8 (AMP8: 2025-2030)

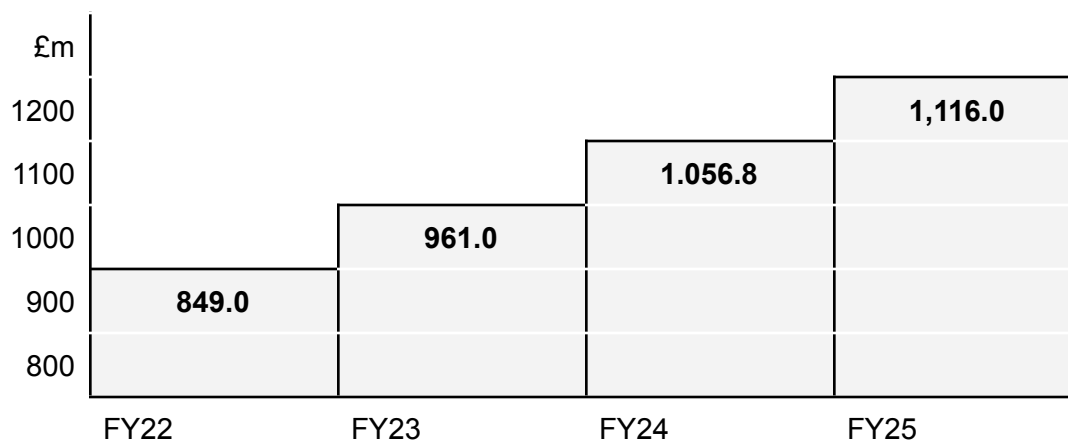
AMP8 represents a major capital cycle designed to address historical underinvestment in UK water infrastructure. Heightened regulatory penalties for storm overflows and network leaks mandate increased capital expenditure. Renew's established framework, spanning 10 regional water authorities, enables it to capture steady task-order flows throughout this cycle.

Section 4: Quantitative Financial Analysis

Financial Performance Summary

Metric (£m)	FY22	FY23	FY24	FY25
Revenue	849.0	961.0	1,056.8	1,116.0
Adjusted EBIT	58.8	64.8	68.3	72.1
Adjusted EBIT Margin	6.9%	6.7%	6.5%	6.5%
Free Cash Flow	48.2	54.1	58.0	61.3
Net Cash (Pre-IFRS16)	20.2	35.7	17.1	6.2
ROCE (%)	18.1%	17.6%	16.9%	17.2%

Revenue Trend (FY22-FY25)



The ROCE DuPont Decomposition

To illustrate Renew's capital efficiency model, we decompose ROCE into Operating Margin and Capital Turnover:

$$ROCE = \text{Operating Margin} * \text{Capital Turnover}$$

$$\text{Operating Margin} = EBIT / \text{Revenue} = £72.1m / £1,116.0m = 6.46\%$$

$$\text{Capital Turnover} = \text{Revenue} / \text{Capital Employed} = £1,116.0m / £419.0m = 2.66x$$

$$ROCE = 6.46\% * 2.66 = 17.18\%$$

Balance Sheet & Free Cash Flow Generation

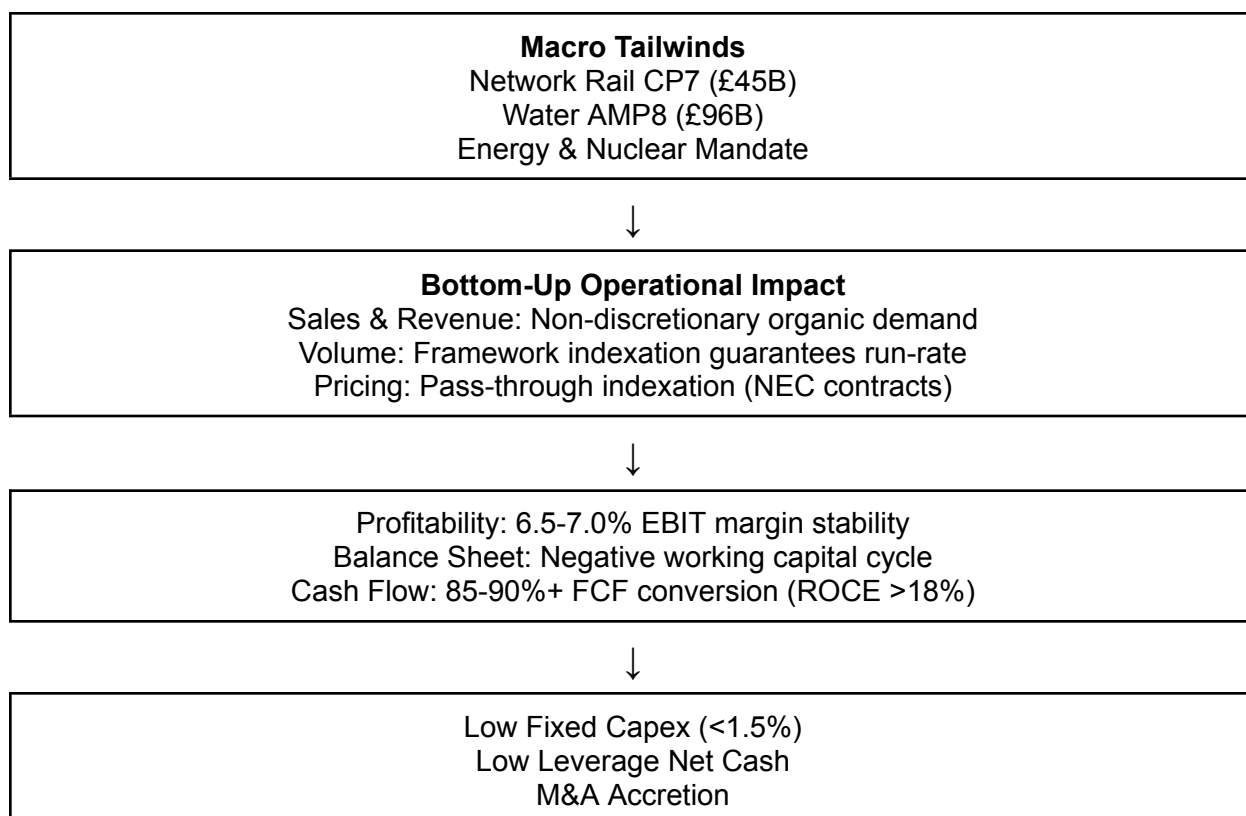
FCF Reconciliation & Cash Conversation (FY25)	
Adjusted Operating Profit (EBIT)	£72.1m
(+) Depreciation & Amoritisation (Excl. IFRS 16)	£11.2m
(- / +) Working Capital Movement	(£4.1m)
(-) Maintenance Capex	(£11.8m)

(-) Cash Taxes Paid	(£6.1m)
Free Cash Flow FCF	£61.3m
Cash Conversion Ratio (FCF / EBIT)	85.0%

Renew maintains an asset-light balance sheet by leasing operational equipment and passing those rental costs directly to framework clients. This minimises ongoing maintenance capex (<1.5% of sales) and yields consistent cash conversion exceeding 80% of operating profit.

Section 5: Macro-to-Micro Operational Bridge

To operationalise the macro tailwinds into a bottom-up investment framework, structural drivers are translated directly into Renew Holdings' (RNWH) fundamental line items.



Bottom-Up Line-Item Mechanics:

1) Revenue (Sales) Trajectory:

- Mechanism:** Driven by multi-year regulatory spending cycles (Network Rail CP7, Water AMP8, Sellafield Decommissioning)
- Visibility:** Order book coverage routinely exceeds £ 900 m (~80% of forward 12-month revenue). Revenue is strictly non-discretionary; public infrastructure cannot be decommissioned or left unmaintained due to regulatory penalties and public safety mandates.

2) Volume vs Pricing Breakdown:

- a) **Volume:** Structural volume growth is decoupled from GDP growth, driven by physical asset degradation (ageing Victorian rail bridges, leaking water pipes, power grid bottlenecks).
- b) **Pricing:** Executed primarily under NEC (New Engineering Contract) target-cost and cost-plus framework agreements. Inflationary pressures on materials and skilled engineering labour are contractually passed through to regulated clients, eliminating the risk of margin compression during inflationary cycles.

3) Profitability & Operating Margin Stability

- a) **Adjusted EBIT Margins:** Historical bound in the 6.5%-7.0% range.
- b) **Quality of Earnings:** Unlike fixed-price tier-1 contractors prone to mega-project cost overruns, Renew operates as a tier-2 specialised contractor executing thousands of low-complexity, small-ticket maintenance tasks (average job size <£1m). Margin volatility is virtually zero.

4) Balance Sheet Implications

- a) **Capital Intensity:** Exceptionally low capital requirements (Capex/Sales 1.2%-1.5%), as tasks require specialised human capital, testing gear, and light utility vehicles rather than heavy earthmoving equipment.
- b) **Solvency & Liquidity:** Strong net cash position (Pre-IFRS 16 net cash typically £10m-£30m) supplemented by a £140m revolving credit facility (RCF)

5) Working Capital Cycle

- a) **Working Capital / Sales:** Stays consistently near zero or negative (-2.0% to 0.5%)
- b) **Cash Conversion:** Secured by government-backed and regulated counterparties (Network Rail, National Grid, EDF, Water Utilities). Milestones are billed monthly with tight debtor collection terms (DSO 35-42 days).

6) Cash Flow & Capital Allocation:

- a) **FCF Generation:** High conversion of adjusted operating profit to free cash flow (85%-95%+)
- b) **Deployment:** Surplus cash flow funds organic growth and programmatic M&A (acquiring niche engineering specialists at 4.5x-6.0x EV/EBITDA), compounding ROCE at 18.0%-22.0%

Section 6: Granular 5-Year Discounted Cash Flow (DCF) Model**Comprehensive Unlevered Free Cash Flow (UFCF) Build**

Figures in £ millions unless otherwise stated. FY25A is based on reported figures (Year Ended 30 September 2025)

Financial Metric	FY25A	FY26E (Base)	FY27E (Base)	FY28E (Base)	FY29E (Base)	FY30E (Base)
Group Revenue	1,116.1	1,194.2	1,277.8	1,367.3	1,463.0	1,565.4
YoY Revenue Growth (%)	5.6%	7.0%	7.0%	7.0%	7.0%	7.0%

Adjusted Operating Profit (EBIT)	72.1	78.8	85.6	92.3	99.5	106.4
Adjusted EBIT Margin (%)	6.46%	6.60%	6.70%	6.75%	6.8%	6.8%
Cash Tax Paid (25.0% Statutory)	(14.2)	(19.7)	(21.4)	(23.1)	(24.9)	(26.6)
NOPAT (EBIT * [1-t])	57.9	59.1	64.2	69.2	74.6	79.8
Add: Depreciation & Amortisation	18.2	19.1	20.4	21.9	23.4	25.0
Less: Capital Expenditures (Capex)	(15.1)	(16.7)	(17.9)	(19.1)	(20.5)	(21.9)
Less: Change in Net Working Capital (NWC)	2.4	(1.6)	(1.7)	(1.8)	(1.9)	(2.0)
Unlevered Free Cash Flow	63.4	59.9	65.0	70.2	75.6	80.9

Discount Rate (WACC) Derivation

Parameter	Input Value	Primary Rationale & Source
Risk-Free Rate (Rf)	4.50%	UK 10-Year Gilt Yield baseline benchmark.
Equity Risk Premium (ERP)	5.50%	Standard UK market risk premium for mid/small-cap equities.
Levered Beta (B)	0.85	Reflects low cyclicality, non-discretionary demand, and NEC contract protection.
Cost of Equity (Ke)	9.18%	<i>Calculated as $Rf + (B * ERP) = 4.50\% + (0.85 * 5.50\%)$</i>
Pre-Tax Cost of Debt (Kd)	5.25%	SONIA + Margin on £140m facility
UK Corporate Tax Rate (t)	25.00%	UK Statutory corporation tax rate
After-Tax Cost of Debt	3.94%	Calculated as $5.25 * (1 - 0.25)$
Target Debt Weight	5.00%	Conservative long-term capital structure weighting
Target Equity Weight	95.00%	Reflects net cash / low debt capital allocation policy
Weighted Average Cost of Capital (WACC)	8.92%	Calculated WACC: $(95\% * 9.18\%) + (5\% * 3.94\%) = 8.92\%$

DCF Valuation Summary (Base Case)

Sum of PV of 5-Year Cash Flows (FY26E-FY30E)	£263.2m
Terminal Value Assumptions: - Long-Term Terminal Growth Rate (g): 2.25% (aligned with long-term UK GDP growth + infrastructure spending floor) - Terminal UFCF (FY31E): $£80.9m * (1 + 0.0225) = £82.7m$ - Terminal Value (TV): $£82.7m / (8.92\% - 2.25\%) = £1,240.2m$ - PV of Terminal Value: $£812.3m$ (Discount factor = $(1 + 0.0892)^{-5} = 0.655$)	
Enterprise Value (EV)	£1,075.5m
Add: Pre-IFRS 16 Net Cash (FY25A)	£6.2m
Less: Lease Liabilities / Pension Deficit / Adjustments	(£18.5m)
Implied Equity Value	£1,063.2m
Diluted Shares Outstanding	79.14m
Implied Value Per Share	1,343.5p
Current Share Price	920.0p
Implied Upside	+46.0%

Scenario Analysis: Bear, Base, & Bull Cases

Bear Case	Base Case	Bull Case
Implied: 890.0p (-3.3% Downside)	Implied: 1,343.5p (+46% Upside)	Implied: 1,680.0p (+82.6% Upside)
Organic Growth: 3.5% EBIT Margin: 6.0% Terminal Growth: 1.5%	Organic Growth: 7.0% EBIT Margin: 6.7% Terminal Growth: 2.25%	Organic Growth: 10.5% EBIT Margin: 7.2% Terminal Growth: 2.75%

- 1) **Bear Case (890.0p / -3.3% Downside):** Organic growth slows to 3.5% due to CP7/AMP8 execution delays; margins drop to 6.0% on labour cost inflation lag; WACC increases to 9.5%; terminal growth decelerates to 1.5%
- 2) **Base Case (1,343.5p / +46.0% Upside):** 7.0% compounding organic revenue growth driven by CP7/AMP8 deployment; stable EBIT margins at 6.7%; WACC at 8.92%; terminal growth at 2.25%
- 3) **Bull Case (1,680.0p / 82.6% Upside):** Organic revenue growth accelerates to 10.5% with aggressive bolt-on M&A execution; EBIT margin expands to 7.2% via operational leverage, terminal growth at 2.75%

WACCvs. Terminal Growth Sensitivity Analysis (Implied Share Price in Pence)

WACC / Terminal Growth (g)	1.75%	2.00%	2.25% (Base)	2.50%	2.75%
8.00%	1,438p	1,489p	1,546p	1,609p	1,680p
8.50%	1,318p	1,360p	1,407p	1,459p	1,517p
8.92%	1,262p	1,301p	1,343.5p	1,390p	1,442p
9.5%	1,154p	1,186p	1,221p	1,259p	1,301p
10.00%	1,073p	1,100p	1,129p	1,161p	1,196p

Detailed Rationale for Model Assumption:

- **Tax Rate Assumption (25.0%):** Modelled at the UK statutory corporation tax rate of 25.0%. Unlike multinational capital goods firms with complex offshore transfer pricing, Renew operates almost entirely within the UK tax jurisdiction, making 25.0% an accurate long-term cash tax rate baseline.
- **Revenue Growth (7.0% CAGR):** Composed of ~4.0% pure volume/price organic growth driven by commitment to public spend (Network Rail CP7 £45B, Water AMP8 £96B) and ~3.0% inorganic contribution from programmatic bolt-on M&A
- **Operating Margins (6.5%-6.8%):** Kept strictly within historical bands. NEC contract structures pass cost inflation through clients, insulating margins from input volatility.
- **Working Capital Investments:** Modelled as a minor cash outflow (~1.3% of incremental revenue) to account for revenue scale, maintaining the structural negative working capital characteristic.

Section 7: Comparable Company Analysis (Comps)

Renew Holdings is frequently grouped with tier-1 civil construction companies. This misclassification creates an analytical mispricing. Tier-1 contractors assume high fixed-price project risks, whereas Renew operates as an asset-light, high-ROCE specialist provider of recurring engineering maintenance services.

Peer Group Multiples & Financial Metrics

Company Name	Ticker	Market Cap (£m)	Forward EV/EBITDA	Forward P/E	FCF Yield (%)	ROCE (%)
Constain Group	COST LN	£280m	3.8x	7.2x	12.5%	14.2%
Balfour Beatty	BBY LN	£2,100m	5.2x	10.1x	8.2%	11.5%
Morgan Sindall	MGNS LN	£1,350m	6.1x	11.4x	7.8%	19.1%

Keller Group	KLR LN	£1,100m	5.5x	9.8x	8.9%	16.4%
Mears Group	MER LN	£380m	5.8x	9.5x	10.1%	17.8%
Peer Group Average	–	–	5.28x	9.6x	9.50%	15.80%
Renew Holdings (Current)	RNWH LN	£728m	7.8x	13.7x	7.2%	19.8%
RNWH Implied Target (Base)	RNWH LN	£1,063m	10.5x	18.0x	5.5%	20.5%

Data normalised across Bloomberg/FactSet consensus. Prices as of August 2026

Valuation Multiple Rerating & Quality Premium Rationale

Renew trades at a premium to low-quality tier-1 contractors, but at a distinct discount to pure-play high-ROCE compounders and regulatory asset maintenance peers.

Peer Multiple Compression vs Renew Quality Premium	
Traditional Tier-1 Contractors - Fixed-Price Bidding (High Risk) - Volatile Margins (1.5%-3.0%) - Capex-Heavy & Net Debt - ROCE < 12%	Renew Holdings (RNWH) - Target-Cost / Cost-Plus (Low Risk) - Predictable Margins (6.5%-7.0%) - Asset-Light (<1.5% Capex) & Cash - ROCE > 18-20%
↓	
Multiple Cap: 5.0x-6.0x EV/EBITDA	Base Target: 10.5x EV/EBITDA

- **Contract Risk Elimination:** Balfour Beatty and Costain remain exposed to fixed-price lump-sum contracts, in which unexpected ground conditions or design delays can cause severe margin erosion. Renew's framework contracts insulate it from fixed-price binary risk.
- **ROCE Superiority:** At 19.8%, Renew's ROCE exceeds the sector average (15.8%), placing it in the top decile of UK industrial engineering firms.
- **Net Cash Resilience:** Renew maintains a pre-IFRS net cash position alongside an undrawn £140m facility, avoiding the balance-sheet leverage seen among capital-intensive peers.

Section 8: Final Synthesis, Portfolio Considerations & Strategic Execution

Variant Perception: Macro to Micro

The consensus view treats Renew Holdings (RNWH) as a cyclical UK engineering and construction firm tied to macroeconomic infrastructure spending. The variant perception

reframes RNWH as an essential, high-margin utility maintenance proxy operating within an inflation-protected regulatory fortress.

Macro Consensus		Micro Variant Reality
Cyclical UK Construction	⇒	Essential Maintenance Proxy
Discretionary Capex Dependent	⇒	Mandatory Opex & Asset Integrity
Margin Exposure to Inflation	⇒	Cost-Plus Contract Inflation Pass-Through

- **Macro Level (UK Infrastructure Paradox):** The market fears headline cuts to major UK capital expenditure projects (e.g., high-speed rail projects or road developments). However, cutting new-build capex directly increases structural stress on existing ageing infrastructure. This forces regulated asset owners (Network Rail, National Grid, Water Utilities) to reallocate capital into maintenance, asset protection, and life-extension, Renew's primary revenue driver.
- **Meso Level (Regulatory Visibility):** Consensus underestimates the visibility provided by regulatory frameworks (Control Period 7 for Rail, AMP8 for Water). RNWH's revenues are backed by non-discretionary operating expense (opex) budgets, not by volatile discretionary capital expenditure budgets.
- **Micro Level (Pricing power & Contract Design):** Unlike standard engineering contractors bound by fixed-price bids, over 80% of Renew's contracts operate under frameworks structured on a cost-plus or target-cost basis with indexation clauses. As input costs rise, contract value scales directly, protecting Operating Margin (~6.5%-7.0%) and Return on Invested Capital (ROIC > 18%)

Strategic Catalysts

- 1) **AMP8 Water Regulatory Cycle Ramp-Up:** The official commencement of the UK Water AMP8 cycle (running 2025-2030) doubles the target expenditure on environmental compliance, storm overflow reduction, and mains repair. RNWH's water maintenance segment is positioned for accelerated organic revenue expansion.
- 2) **Bolt-on M&A Execution:** Mobilising balance sheet capacity (Net Cash position) into synergistic, high-margin targets in targeted growth areas like electricity transmission and wireless networks.
- 3) **Institutional Rerating:** Transitioning instructional perception from an "AIM-listed construction play" to a "critical infrastructure service provider", driving a multiple expansion toward mid-tier support services multiples (~14x-16x Forward P/E).

Key Risks & Mitigation

- 1) **CP7 Rail Execution Delays:** Temporary delays in task-order deployment under Network Rail's CP7 framework

- a) *Mitigation*: Diversification into electricity networks and water segments reduces overall dependence on rail.
- 2) **Labour Shortages & Wage Inflation**: Tightness in skilled engineering and technical labour markets.
 - a) *Mitigation*: Cost-plus pricing mechanisms transfer direct labour cost inflation onto client frameworks.
- 3) **AIM Market Liquidity Discount**: Broader capital outflows from UK AIM-listed equities are affecting small- and mid-cap valuations.

Institutional Portfolio Execution: FX, Liquidity & Entry Strategy

This section addresses execution factors specifically tailored for fund mandates buying UK equities from non-GBP bases (e.g., CAD/USD)

FX Dynamics (GBP/USD & GBP/CAD Consideration)

For funds operating outside the sterling zone, acquiring RNWH introduces an unhedged currency exposure to GBP.

- **Revenue-Currency Alignment**: RNWH operates entirely within the UK, generating 100% of cash flows in GBP with matching local cost bases. The position represents explicit exposure to UK domestic real-asset cash flows.
- **Macro FX Outlook**: Structural movements in Sterling will impact reported fund return metrics. If GBP strengthens against USD/CAD driven by BoE interest rate differentials, unhedged foreign holders capture currency upside alongside equity appreciation. Conversely, GBP weakness introduces translation headwinds regardless of underlying operating performance.
- **No Derivative Overlay Required**: Unless the fund maintains a firm macro currency mandate that requires explicit forward hedging, the position should be held unhedged to preserve its character as a pure-play on UK domestic infrastructure maintenance cash flows.

Geopolitical & Macro Events to Monitor Before Entry

Before initiating tranche purchases, monitor three key macro events:

- 1) **UK Fiscal & Infrastructure Budget Updates**: Monitor Treasury statements for changes to regulated asset framework budgets or local authority infrastructure grant allocations.
- 2) **Ofwat AMP8 Final Determinations**: Track ongoing regulatory rulings on water utility capital structures and compliance penalties, and confirm total maintenance spend commitments.
- 3) **Bank of England Monetary Policy Meetings**: Monitor interest rate trajectories; while RNWH carries net cash, rate adjustments after discounting factors across UK small/mid-cap equities.

Executive Summary

Recommendation: LONG Renew Holdings PLC (LSE: RNWH)

Base Case Price Target: 1,343.5p (+46.0% Implied Upside)

Time Horizon: 12 - 18 Months

Renew Holdings represents a fundamentally mispriced, asset-light compounding vehicle operating within a highly defensible regulatory fortress. Frequently mischaracterised by the broader market as a cyclical construction contractor, Renew is effectively a non-discretionary infrastructure maintenance proxy. By leasing specialised fleet equipment on a direct cost-pass-through basis and avoiding fixed-price legacy building contracts, the firm achieves exceptional capital efficiency (ROCE ~17.2%-19.8%) and a highly predictable ~85% free cash flow conversion rate.

With over 90% of its revenue insulated by multi-year statutory spending mandates, specifically Network Rail's CP7 and Ofwat's AMP8 frameworks, Renew enters this capital cycle with a record £915m order book and structural immunity to headline mega-project capex cuts. In fact, cancellations to projects like HS2 actively increase the maintenance burden on existing, ageing UK infrastructure, directly favouring Renew's core operations.

Currently trading at just 7.8x Forward EV/EBITDA, the market is severely discounting the firm's earnings visibility and its disciplined, programmatic M&A strategy (Acquiring niche regional providers at 4.5x-6.0x EBITDA). As AMP8 water spending accelerates and the group deploys its unlevered balance sheet (£140m undrawn facility) into high-margin energy grid targets, a structural multiple re-rating towards 10.5x Forward EV/EBITDA is realistic. RNWH offers a highly asymmetrical risk/reward profile for capital seeking inflation-protected, defensive compounding in the UK small- and mid-cap space.